DR. NILESH SHAH - STOCKS FAIRSCOPE

Independent Fair Value & Risk Report

Apple Inc.

AAPL • US • USD • Technology

MARKET PRICE	FAIR VALUE	UPSIDE / DOWNSIDE	BUFFER PRICE
USD 316.83	USD 174.74	-44.8%	USD 124.91

Above estimated fair value

Confidence 74/100 • Required valuation buffer 29% • Technology operating company

Analysis ID	FS-20260820-B660468ACE65
Model	FairValueEngine 4.3 • Audit schema 1.3
Data	Yahoo Finance • fresh cache
Generated	20 Aug 2026, 08:26 UTC

Automated research estimate • Not a Buy/Sell recommendation • Valuation buffer does not guarantee protection from loss

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Fair Value Analysis

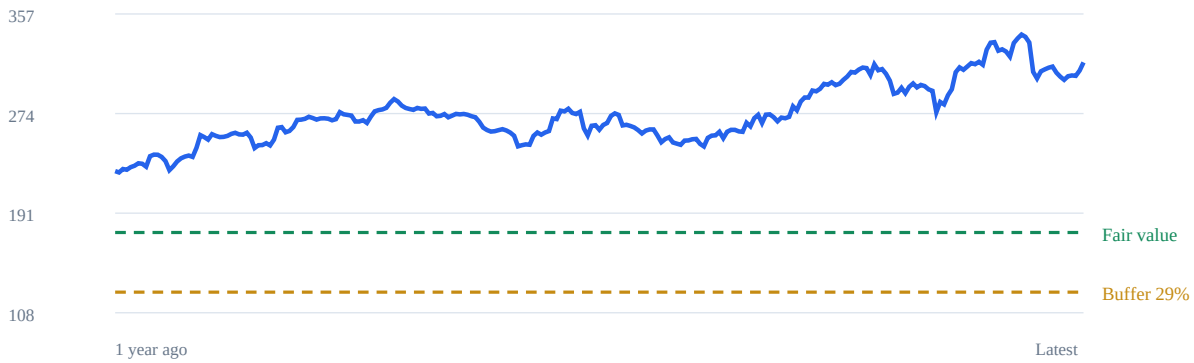
Apple Inc. (AAPL) • US • Generated 20 Aug 2026, 08:26

Executive summary

MARKET PRICE	BASE FAIR VALUE	UPSIDE / DOWNSIDE	29% BUFFER PRICE
USD 316.83	USD 174.74	-44.8%	USD 124.91

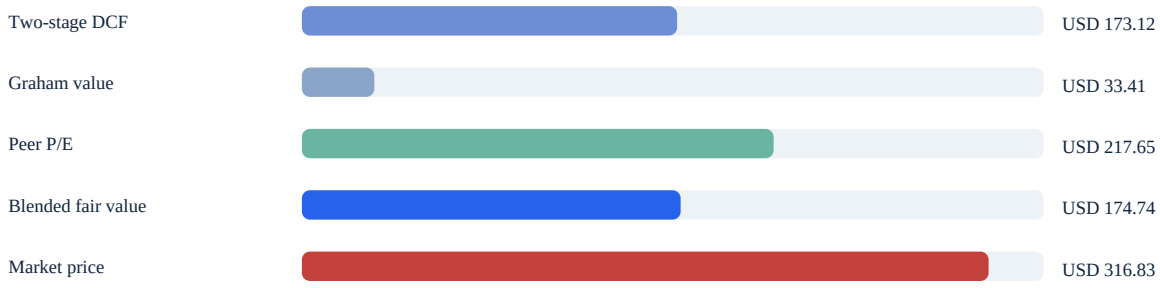
Assessment: **Above estimated fair value** | Model coverage: **Moderate**

Price vs valuation



The historical line is market price; fair value and the valuation-buffer line are today's model references, not historical estimates.

Base model comparison



Scenario valuation

Scenario	Growth	Discount	Terminal	Two-stage DCF	Graham value	Peer P/E	Blended
Conservative	6.2%	11.0%	1.5%	USD 97.63	USD 33.41	USD 217.65	USD 133.22
Base	10.2%	9.0%	2.5%	USD 173.12	USD 33.41	USD 217.65	USD 174.74
Optimistic	14.2%	7.5%	3.8%	USD 365.01	USD 33.41	USD 217.65	USD 280.28

Company & market snapshot

Sector	Technology	**Industry**	Consumer Electronics
Market cap	USD 4,623,874,129,920.00	**Trailing P/E**	35.60
52-week range	USD 223.78 – USD 344.57	**Price / book**	43.05
Normalized EPS	USD 6.74	**Book value / share**	USD 7.36
Normalized FCF	USD 104,195,500,000.00	**Peer median**	32.28× P/E

Method and assumptions

Profile selected: Technology operating company. The engine uses up to five annual observations for normalized inputs, a ten-year two-stage DCF (or residual income for financial institutions), Graham/book value, and live same-country peer medians. Sector-aware weights are 55%, 10%, and 35%. Missing methods are omitted and remaining weights are re-normalized. Scenarios are estimates, not price forecasts.

Valuation profile	Technology operating company
Forecast period	10 years; growth fades after year 5
Base growth	10.2%
Base discount rate	9.0%
Base terminal growth	2.5%
Minimum / required buffer	20% / 29%
Financial risk score	25/100 (lower is better)
Data quality score	100/100
Live peers	NVDA, MSFT, TSM, AVGO, SKHY, MU, AMD, ASML
Data source	Yahoo Finance • AAPL
Source updated	2026-08-19
Sources checked	Yahoo Finance
Cache delivery	fresh cache • age 1.7h
Data retrieved	2026-08-20 06:41 UTC

Assumption review & override disclosure

Automatic defaults were used without manual overrides.

Risk, resilience and confidence analytics

Business quality	100/100 (higher is better)	**Governance risk**	27/100 (lower is better)
Confidence	74/100 — Moderate	**Model dispersion**	106.4%
Reverse DCF	21.3% implied initial growth	**Required valuation buffer**	29%



Resilience bars invert financial/governance risk so longer green bars indicate stronger modeled resilience. They do not guarantee protection from loss.
The market price implies approximately 21.3% annual initial growth for five years, fading thereafter.

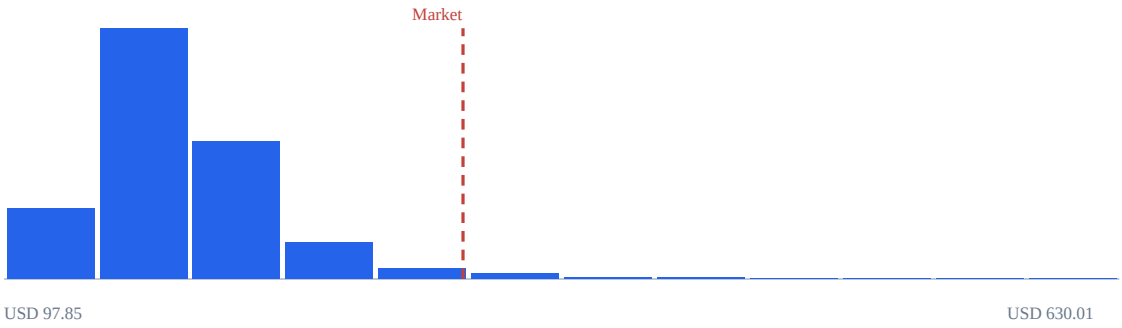
Fair-value sensitivity

Discount \ Terminal	1.5%	2.0%	2.5%	3.0%	3.5%
7.0%	USD 199.16	USD 208.54	USD 220.01	USD 234.33	USD 252.75
8.0%	USD 179.57	USD 185.83	USD 193.22	USD 202.10	USD 212.94
9.0%	USD 165.26	USD 169.66	**USD 174.74**	USD 180.66	USD 187.65
10.0%	USD 154.36	USD 157.58	USD 161.22	USD 165.39	USD 170.20
11.0%	USD 145.79	USD 148.21	USD 150.93	USD 153.97	USD 157.43

Green: above market price • Amber: near market price • Red: below market price • Bold: base assumptions

Monte Carlo valuation — Phase 3 item 11

P10	P25	Median	P75	P90	Probability FV > price	Simulations
USD 138.26	**USD 153.97**	**USD 175.60**	**USD 202.46**	**USD 233.64**	**1.7%**	**2,000**



Simulation varies normalized financial inputs, initial growth, discount rate, terminal growth, and peer multiples. Percentiles describe model uncertainty—not expected returns or the probability of making a profit.

Model audit trail

Analysis ID	FS-20260820-B660468ACE65	**Model version**	FairValueEngine 4.3
Parent analysis	None	**App / schema**	10.1.0 / 1.3
Created UTC	2026-08-20T08:26:41.050804+00:00	**Monte Carlo seed**	721581347476877767
Audit SHA-256	f06ef0d810d40ea7057d8b61099cd413933e42e197fb01[illegible]fe66d68403	**Integrity**	Valid

Stage	Action	Details
Identity	Analysis created	analysis_id=FS-20260820-B660468ACE65; parent_analysis_id=None; app_version=10.1.0; model_version=FairValueEngine 4.3; audit_schema=1.3

Stage	Action	Details
Data	Source snapshot	symbol=AAPL; sources=Yahoo Finance; source_updated=2026-08-19; retrieved=2026-08-20 06:41 UTC; lineage_records=14; discrepancies=0; external_reviews=0; cache_status=fresh cache; cache_age_hours=1.7450971983538734; is_stale=False
Methodology	Profile selected	profile=Technology operating company; primary_model=Two-stage DCF; secondary_model=Graham value; peer_model=Peer P/E
Specialized financials	Financial-company metrics recorded	applicable=False; metrics=None
Normalization	Historical inputs normalized	fcf_observations=4; revenue_observations=4; income_observations=4; normalized_fcf=104195500000.0; normalized_eps=6.742345236251711; book_value_per_share=7.36
Assumptions	Automatic baseline recorded	growth=0.101606296016627; discount_rate=0.09; terminal_growth=0.025; years=10; dcf_weight=0.55; graham_weight=0.1; relative_weight=0.35; margin_of_safety=0.2
Assumptions	Reviewed assumptions accepted	preset=Automatic defaults; override_count=0; overrides={}; reviewer_note=None; growth=0.101606296016627; discount_rate=0.09; terminal_growth=0.025; years=10; dcf_weight=0.55; graham_weight=0.1; relative_weight=0.35; margin_of_safety=0.2
Models	Base models executed	primary=173.1223166036502; graham_or_book=33.4145532833118; peer=217.6521951779408; blended=174.73699777261808; excluded_models=None; peer_symbols=NVDA, MSFT, TSM, AVGO, SKHY, MU, AMD, ASML, ASMLF, INTC, CSCO, SSNLF; fallback_used=False; fallback_reasons=None
Scenarios	Scenario values calculated	Conservative=133.21696285796364; Base=174.73699777261808; Optimistic=280.2778083263385
Risk	Scores and valuation buffer calculated	financial_risk=25; data_quality=100; business_quality=100; governance_risk=27; confidence=74; dynamic_margin=0.28513640321319245; model_dispersion=1.0642050401649052
Sensitivity	Sensitivity grid calculated	discount_rates=[0.06999999999999999, 0.08, 0.09, 0.09999999999999999, 0.11]; terminal_growth_rates=[0.015000000000000001, 0.02, 0.025, 0.030000000000000002, 0.035]; cells=25
Monte Carlo	Simulation completed	seed=721581347476877767; requested_iterations=2000; successful_iterations=2000; percentiles={"P10": 138.26194040338137, "P25": 153.9715446590095, "P50": 175.59578338021336, "P75": 202.46430724473913, "P90": 233.6423909208919}; probability_fair_value_above_price=0.017
Decision	Final estimate recorded	market_price=316.8299865722656; fair_value=174.73699777261808; upside_pct=-44.848339747424006; mos_price=124.91311871946215; assessment=Above estimated fair value

The SHA-256 hash provides tamper-evidence for this audit record; it is not a digital signature or guarantee of model accuracy.

Data lineage & citations

Metric	Value	Source	Period	Transformation	Status
Market price	USD 316.83	Yahoo Finance	2026-08-19	Official-site price selected when available; otherwise latest Yahoo close	Selected
One-year price history	251 sessions	Yahoo Finance	Through 2026-08-19	Latest available closing prices; last 252 sessions retained	Received
Shares outstanding	14,594,180,000	Yahoo Finance	2026-08-19	Reported shares outstanding; fallback to share-history endpoint	Received
Revenue history	4 annual values	Yahoo Finance	2025, 2024, 2023, 2022, 2021	Up to five annual statement values, latest first	Received
Normalized net income	USD 98,399,000,000.00	Yahoo Finance	2025, 2024, 2023, 2022, 2021	Median of available annual net-income observations	Normalized
Normalized free cash flow	USD 104,195,500,000.00	Yahoo Finance	2025, 2024, 2023, 2022, 2021	Median of annual FCF; CFO minus capex fallback when needed	Normalized
Normalized EPS	USD 6.7423	Yahoo Finance	2025, 2024, 2023, 2022, 2021	Median annual net income divided by current shares; reported EPS fallback	Derived
Book value per share	USD 7.3600	Yahoo Finance	2026-08-19	Public top ratio or equity divided by shares	Selected
Trailing P/E	35.599x	Yahoo Finance	2026-08-19	Direct provider ratio	Selected
Market capitalization	USD 4,623,874,129,920.00	Yahoo Finance	2026-08-19	Direct provider market-cap value	Selected
Return on equity	148.75%	Yahoo Finance	2026-08-19	Direct ratio; Screener percentage converted to decimal	Selected
Total debt	USD 84,343,996,416.00	Yahoo Finance	2025, 2024, 2023, 2022, 2021	Latest available annual balance-sheet value	Received
Cash and equivalents	USD 62,399,000,576.00	Yahoo Finance	2025, 2024, 2023, 2022, 2021	Latest available annual balance-sheet value	Received
Peer median P/B	8.131x	Yahoo Finance	2026-08-19	Median of 12 screened same-region industry/sector peers after outlier bounds	Derived

Links open the cited public source. Values can change after retrieval; this table records the period, retrieval context, and transformation used by the analysis.

Interpretation, limitations & risks

• Fair value is highly sensitive to growth, discount-rate, terminal-growth, and normalized earnings assumptions.

• Free Yahoo/Screener/NSE/BSE website data can be delayed, incomplete, restated, rate-limited, blocked, or unavailable; verify figures against company filings.

• Banks, insurers, REITs, cyclical firms, loss-making firms, and businesses with unusual capital structures may require specialized models.

• Live peers are screened through free Yahoo Finance region, industry/sector, and market-cap filters; they may still differ in growth, leverage, accounting, or business mix.

• Currency is native to the listing. This report does not fully model governance, taxes, FX, liquidity, or portfolio concentration.

• Current ratio below 1 (0.89).

• Estimated ROIC (104.3%) comfortably exceeds the required return.

• Receivables have grown materially faster than revenue.

• Free Yahoo Finance data may be delayed, incomplete, rate-limited, or changed without notice. Verify official filings.

• Loaded from fresh local cache (1.7 hours old).

• Cash flow and earnings inputs use up to five annual observations and median normalization when available.

• Available model weights are automatically re-normalized when a model cannot be calculated.

• Dynamic valuation buffer is 29% versus the 20% minimum after financial, quality, governance, data, sector, and model-disagreement adjustments. This buffer does not guarantee protection from loss.

Important disclaimer

For education and research only. This is an automated estimate, not investment advice, a recommendation, an offer, or a guarantee of future returns. Market prices can differ materially from model values. Independently verify all data and consult a SEBI-registered investment adviser in India or an appropriately registered financial professional in your jurisdiction before making investment decisions.